Development of Inventions Act 1965

1965 CHAPTER 21

An Act to amend the Development of Inventions Acts 1948 to 1958. [2nd June 1965]

BE IT ENACTED by the Queen's most Excellent Majesty, by and with the advice and consent of the Lords Spiritual and Temporal, and Commons, in this present Parliament assembled, and by the authority of the same, as follows:—

Exchequer advances to Corporation. 1948 c. 60. 1958 c. 3. (7 & 8 Eliz. 2).

1.—(1) In section 7(2) of the Development of Inventions Act 1948 (which, as amended by the Development of Inventions Act 1958, limits the amount outstanding in respect of Exchequer advances to the National Research Development Corporation (in this Act referred to as "the Corporation") to £10 million) for the words "ten million pounds" there shall be substituted the words "twenty-five million pounds".

(2) In subsection (1) of the said section 7 (which, as amended by the Development of Inventions Act 1958, authorises the making of Exchequer advances to the Corporation within twenty years from the establishment of the Corporation)—

(*a*) the provisions which limit the purposes for which the advances may be made to the purpose of defraying expenditure properly chargeable to capital account, and

(*b*) the words "within twenty years of the establishment of the Corporation",

shall cease to have effect.

(3) Any payments made on or after 1st April 1966 by the Minister under section 7 of the Development of Inventions Act 1948 (hereafter in this Act referred to as "the principal Act") shall be paid out of money provided by Parliament and section 11 of that Act (which requires their payment out of the Consolidated Fund) shall cease to have effect.

(4) So much of section 12(1) of the principal Act as requires sums paid into the Exchequer by the Minister to be issued out of the Consolidated Fund and dealt with as specified in that subsection shall cease to have effect on 1st April 1966.

(5) A statement of the Corporation's accounts shall be prepared under section 10(1) of the principal Act for the period of nine months from the end of June 1965 to the end of March 1966 (instead of for the period of twelve months ending with June which is at present the Corporation's financial year under the said section 10(1)), and thereafter the Corporation's financial year under that section shall end on 31st March.

(6) No account shall be prepared under section 12(2) of the principal Act (account of advances and repayments) for the financial year ending in 1967 or any subsequent financial year, but, on receipt by the Minister under section 10(4) of the principal Act of the Corporation's copy of their statement of accounts for the financial year ending in 1967 and any subsequent year, the Minister shall send a copy of the statement (with a copy of any accompanying report by the auditors) to the Comptroller and Auditor General.

(7) The Comptroller and Auditor General shall examine every statement and report sent to him under the last foregoing subsection, and may inspect the accounts to which the statement relates and any records relating thereto, and shall certify the statement and lay a copy of it together with his report thereon before Parliament.

(8) In section 10(1) of the principal Act (form of Corporation's accounts) the words "being a form which shall conform with the best commercial standards" shall cease to have effect.

Remission of liability to repay advance where the advance is represented by an asset with a written-down value.

1954 c. 20.

2.—(1) This section applies where—

(*a*) the Corporation have written down, or propose to write down, the value in their books of any asset which in the opinion of the Minister represents expenditure incurred by the Corporation exclusively for or in connection with the development of an invention or incurred by the Corporation under section 2(2) or (3) of the Development of Inventions Act 1954 (research), and

(*b*) the Corporation apply to the Minister for relief under this section in respect of their liability to repay an advance under section 7 of the principal Act, being an advance which in the opinion of the Minister was used to defray all or any part of the expenditure represented by the asset.

(2) If the Minister with the consent of the Treasury so directs, the Corporation's liability up to the amount specified in the direction, but not exceeding the amount written down, shall be extinguished from the date as on which the value of the asset is so written down.

(3) The extinction under subsection (2) of this section of any liability shall not affect the obligation of the Corporation to pay interest under section 8(1)(*b*) of the principal Act on the extinguished debt in respect of any period or part of a period before the date on which the liability is extinguished.

(4) No account shall be taken of the extinction of a liability under subsection (2) of this section for the purposes of section 7(2) of the principal Act (which imposes a limit on the aggregate amount outstanding in respect of advances made to the Corporation under that section).

(5) If at any time after the giving of a direction under subsection (2) of this section it appears to the Minister that in consequence of a change in circumstances since the giving of the direction the value of the asset has increased, he may direct that all or any part of the liability extinguished shall revive, and where a direction is given under this subsection interest shall become payable by the Corporation under section 8(1)(*b*) of the principal Act for any period after the direction takes effect; and it shall be the duty of the Corporation to give the Minister such information as he may from time to time require for the purpose of enabling him to exercise his powers under this subsection.

(6) At or before the time when the Corporation make an application under this section they shall submit to the Minister a statement setting out the grounds on which the application is made.

(7) The Corporation's annual report made under section 4(4) of the principal Act shall record any application made by the Corporation under this section in the financial year to which the report relates, and include a statement in a form approved by the Minister showing the grounds on which the application is made; and if the application was granted in whole or in part the report shall record that fact and include particulars of the manner in which the application was granted.

(8) The Corporation's report shall also record any direction given by the Minister under subsection (5) of this section in the financial year to which the report relates.

(9) References in this section to the writing down of the value of an asset include references to writing off the whole of the value of an asset.

(10) This section applies to assets written down, and liabilities incurred, before or after the passing of this Act.

Exchequer payments to meet interest due from Corporation.

3.—(1) The Minister may with the consent of the Treasury give relief in respect of interest due under section 8(1)(*b*) of the principal Act in respect of any advance, being interest in respect of the whole or any part of the period of eight years beginning with the making of the advance.

(2) The Minister shall give effect to any decision to give relief of any amount under this section by making a grant of that amount to the Corporation out of money provided by Parliament, and the grant shall be used to meet the Corporation's liability to pay interest.

(3) This section shall apply in relation to advances made before or after the passing of this Act, and in relation to interest falling due before or after the passing of this Act.

Projects carried out by Corporation in response to representations by a Government department.

4.—(1) Where in the exercise of their functions the Corporation carry out any project in response to representations made by any Government department other than the Post Office that it is in the public interest that the project should be carried out, the Minister in charge of the department may with the consent of the Treasury make to the Corporation out of money provided by Parliament—

(*a*) payments to meet all or any part of the expenditure (including overhead expenditure) incurred by the Corporation in carrying out the project and payments by way of fees to the Corporation for carrying out the project, or

(*b*) payments in respect of any loss arising in the carrying out of the project.

(2) Any Minister may with the consent of the Treasury undertake to make at a future time any payment which he has power to make under the foregoing subsection.

(3) Except with the approval of the Minister of Technology, the Corporation shall not enter into arrangements with the Minister in charge of a Government department (other than the Minister of Technology) to carry out any project in the exercise of their functions under section 1 of the principal Act or section 2 of the Development of Inventions Act 1954, being arrangements under which the Minister in charge of the Government department concerned undertakes to make any payment to the Corporation of the kind described in paragraph (*a*) or (*b*) of subsection (1) of this section.

1954 c. 20.

(4) Where a Government department requests the Corporation to enter into arrangements for carrying out any project, being arrangements under which any such payment as aforesaid is to be made, then for the purposes of section 1(1)(*a*) of the principal Act (under which the Corporation's functions include the development or exploitation of inventions where the public interest so requires, being inventions resulting from public research or appearing not to be developed or exploited or sufficiently developed or exploited) and section 2(2) or (3) of the said Act of 1954 (under which the Corporation may promote or assist research or the continuation of research where certain requirements are fulfilled) a representation made to the Corporation by the Government department—

(*a*) that it is in the public interest that the project should be carried out, or

(*b*) both that it is in the public interest that the project should be carried out and that the relevant invention is not being developed or exploited or sufficiently developed or exploited, or, as the case may be, that the requirements in the said section 2(2) or (3) are fulfilled as respects the relevant research,

shall be conclusive, but that shall not of itself impose a duty on the Corporation to carry out the project.

(5) Section 5 of the principal Act (which is superseded by this section) shall cease to have effect.

5.—(1) Nothing in section 3 of the principal Act (balancing of accounts) shall be taken as preventing the Corporation from exercising their functions so that the return to them from their activities exceeds their outgoings on revenue account. **Disposal of excess revenue.**

(2) Any surplus on revenue account shall be applied by the Corporation in such manner as the Minister, with the approval of the Treasury, and after consultation with the Corporation, may direct; and any such direction may require the whole or any part of the surplus to be paid into the Exchequer.

6.—(1) In section 2(1) of the principal Act (which prescribes an upper limit of 10 on the number of members of the Corporation in addition to the chairman and managing director) for the word "ten" there shall be substituted the word "twelve". **Increase in membership of Corporation.**

(2) There shall be paid out of money provided by Parliament any increase attributable to this section in the sums so payable under the principal Act.

Minor amendments.

7.—(1) It is hereby declared that any direction given to the Corporation under section 4(1) of the principal Act (power to give directions of a general character as to the exercise of their functions) includes power to vary or revoke a previous direction so given.

(2) The persons qualified to be appointed as auditors of the accounts of the Corporation under section 10(3) of the principal Act shall include a Scottish firm all the partners in which are members of one or more of the bodies of accountants listed in that subsection.

(3) It is hereby declared that the reference to the Corporation's functions in section 1(3) of the principal Act (power to carry on ancillary activities) includes a reference to their functions under section 2 of the Development of Inventions Act 1954 (research).

1954 c. 20.

(4) The Corporation shall not exercise any functions by virtue of subsection (2) or (3) of the said section 2 except where the public interest so requires.

Interpretation.

8.—(1) In this Act, unless the context otherwise requires—

"the Corporation" means the National Research Development Corporation;

"the Minister" means the Minister of Technology;

1948 c. 60.

"the principal Act" means the Development of Inventions Act 1948.

(2) Any reference in this Act to any enactment includes a reference to that enactment as amended or extended by any Act, including this Act.

Powers of Parliament of Northern Ireland.

9. Nothing in the principal Act or the Acts (including this Act) amending that Act shall operate to preclude the Parliament of Northern Ireland from enacting legislation for purposes similar to the purposes of the principal Act or the Acts amending that Act.

Citation, repeals and commencement.

10.—(1) This Act may be cited as the Development of Inventions Act 1965, and this Act and the Development of Inventions Acts 1948 and 1954 may be cited together as the Development of Inventions Acts 1948 to 1965.

(2) The Acts mentioned in the Schedule to this Act shall be repealed to the extent specified in the third column of that Schedule.

(3) Save as otherwise expressly provided, this Act shall come into force at the expiration of a period of one month beginning with the date on which it is passed.

SCHEDULE

Section 10.

REPEALS

Chapter	Short Title	Extent of Repeal
11 & 12 Geo. 6. c. 60.	The Development of Inventions Act 1948.	In section 3, the words " as soon as may be after the establishment of the Corporation ". Section 5. In section 7(1), the words from the beginning to " provision of working capital " and the words (in that section as originally enacted) " within five years from the establishment of the Corporation ". In section 8(2) (as originally enacted) the words from " and the Board " to the end of the subsection. In section 10(1), the words from " being a form " to the end of the subsection and section 10(5). Section 11 (1st April 1966). In section 12(1), the words from " and shall be issued " to the end of the subsection (1st April 1966), and, as respects the financial year ending in 1967 and subsequent financial years, section 12(2)(3). In the Schedule, in paragraph 3(1)(*b*), the words " and the mode of entering into contracts by or on behalf of the Corporation".
2 & 3 Eliz. 2. c. 20.	The Development of Inventions Act 1954.	Section 1.
7 & 8 Eliz. 2. c. 3.	The Development of Inventions Act 1958.	The whole Act.